FINANCIAL ACCOUNTING AND REPORTING

Suggested Answers
March-April 2025

Answer to the Question# 1(a):

To maintain consistency, the presentation and classification of items in the financial statements should stay the same from one period to the next. There are two exceptions to this:

(i) Where there is a significant change in the nature and operation or a review of the financial statements presentation which indicates a more appropriate presentation. (This change is only allowed if the resulting information is a more faithful representation and more relevant than the previous presentation. If two presentations are equally appropriate then the current presentation must be retained.)
(ii) Where a change in presentation is required by an IFRS standard.

When a change of presentation and classification is made, figures for the previous period must be restated on the new basis, unless this is impracticable (i.e., not possible 'after making every reasonable efforts').

Answer to the Question# 1(b):

There is no absolute measure of materiality. It is common to apply a convenient rule of thumb (for example to define material items as those with a value greater than 5% of the net profit disclosed in the financial statements). But some items disclosed in financial statements are regarded as particularly sensitive and even a very small misstatement of such an item would be regarded as a material error. An example in the financial statements of a limited liability company might be the amount of remuneration paid to directors of the company.

The assessment of an item as material or immaterial may affect its treatment in the financial statements. For exmaple, the statement of profit or loss of a business shows the expenses incurred by the business grouped under suitable captions (heating and lighting expenses, rent and property taxes etc). However, in the case of very small expenses it may be appropriate to lump them together under a caption such as ' sundry expenses' because a more detailed breakdown would be inappropriate for such immaterial amounts.

"In assesing whether or not an item is material, it is not only the amount of the item which needs to be considered. The context is also important. Although the relative monetary value of transactions between the company and its directors or other related parties may be small, they may still be important for the purpose of external users understanding the nature of transactions undertaken by an entity. Such transactions may be considered material by their nature rather than value."

Answer to the Question# 1(c):

"IAS 1 ends by listing some specific disclosures which will always be required if they are not shown elsewhere in the financial statements.

(i) The domicile and legal form of the entity, its country of incorporation and the address of the registered office (or, if different, principal place of business);
(ii) A description of the nature of the entity's operation and it's principal activities;
(iii) The name of the parent entity and the ultimate parent entity of the group. "

Answer to the Question# 1(d):

The time period assumption assumes that the economic life of a business is divided into artificial time periods. Accrual-basis of accounting means that companies record events that change a company's financial statements in the periods in which those events occur, rather than in the period in which the company receives or pays cash.

Companies make adjusting entries at the end of an accounting period. Such entries ensure that companies recognize revenues in the period in which the performance obligation is satisfied and recognize expenses in the period in which they are incurred. The major types of adjusting entries are deferrals (prepaid expenses and unearned revenues) and accruals (accrued revenues and accrued expenses).

An adjusted trial balance shows the balances of all accounts, including those that have been adjusted, at the end of the accounting period. Its purpose is to prove the equality of the total debit balances and total credit balances in the ledger after all adjustments.

Answer to the Question# 2(a):

The loan provisioning criteria in BRPD circular should be mentioned in question, it might be mistake. The following are the loan provisioning criteria in BRPD circular.

Period of past due or overdue	CL Categories	Rate of provision
No past due or overdue	Standard-0 (STD-0)	1% of loan outstanding
≥ 1 day but <1 month	Standard-1 (STD-1)	1% of loan outstanding
≥ 1 month but < 2 months	Standard-2 (STD-2)	1% of loan outstanding
≥ 2 months but < 3 months	Special Mention Account (SMA)	5% of loan outstanding
≥ 3 months but < 6 months	Sub-Standard (SS)	20% of base for provision
≥ 6 months but < 12 months	Doubtful (DF)	50% of base for provision
≥ 12 months	Bad/Loss (B/L)	100% of base for provision

Customer	Total Outstanding	Overdue	Period of Overdue	IFRS Provision	BRPD Provision
A	BDT 20m	BDT 15m	181 Days	BDT 20m	BDT 7.55m (1. BDT 7.5m, 50% on BDT 15m doubtful & 2. BDT 0.05m, 2% on BDT 5m general provision)
B	BDT 19.5m	-	-	BDT 9.75m	BDT 0.195m (1% on BDT 19.5m general provision)
C	BDT 200m	BDT 40m	170 Days	Nil	BDT 3.6m (1. BDT 40m, 5% on BDT 40m SMA & 2. BDT 1.6m, 1% on BDT 160m general provision)
D	BDT 450m	BDT 450m	720 Days	Nil	BDT 450m (100% on BDT 450m bad & loss)
E	BDT 75m	BDT 35m	360 Days	BDT 55m	BDT 17.9m (1. BDT 35m, 50% on BDT 35m DF & 2. BDT 0.4m, 1% on BDT 40m general provision)

Answer to the Question# 2(b):

The legal form of the transaction is that DPDC has sold land to PGCL as it has transferred legal title. To reflect the legal form, DPDC would record a sale and show the resulting profit or loss, if any, in profit or loss in the reporting period. In 24 months' time, while the legal title of the land again regained, DPDC would record a purchase of land along with substation. There would be no liability to PGCL in DPDC financial statements until the land is repurchased in 31 Dec 2024 but a disclosure as "off-balance sheet items" under contractual liabilities.

However, these records (measurement & recognition) and presentation into DPDC Financial Statements do not provide faithful representation because it does not reflect the economic substance of the transaction. After all, DPDC is under obligation from the outset to repurchase the land and DPDC bears the risk that these land might not be good use to it/any other third party if substation installation failed and is unsaleable at desired/agreed price in a 24 months' time. Sales with repurchase condition indicates loan and the difference between sale price and repurchase value would be regarded as interest.

Answer to the Question# 3(a):

(i) **Alpha Ltd** has a lease in the scope of IFRS 16 because:
- there is an identified asset (the laptop) which cannot be substituted during the lease term; and
- Alpha Ltd has the right to direct the use of the laptop during the lease term (the financial controller can use the laptop as and where required for her work).

As the laptop is a low value item, Alpha Ltd may elect to apply the recognition exemption in IFRS 16, in which case, the payments associated with the lease should be recognised on a straight- line basis over the lease term.

(ii) **Beta Ltd** has a lease. The arrangement involves an identified asset (photocopier) which the customer has the right to direct the use of it. IT BD Ltd does not have a right to substitute the photocopier for another, except where major repairs are required. IT BD Ltd does not therefore have substantive substitution rights.

The lease is not short term and if the underlying asset is not of low value item, the recognition exemptions in IFRS 16 cannot be applied.

(iii) **Gamma Ltd** does not have a lease: the contract is not for identified assets, as Dhaka Cars Ltd has substantive substitution rights over the cars provided.

(iv) "**Delta Ltd** has a lease as the assets are identified (three desks of a specified style and size) which cannot be substituted during the lease term. As the lease is for less than 12 months, it would qualify for the recognition exemption in IFRS 16. However, in order to apply the recognition exemption to short-term leases, Delta Ltd must make the election for the whole class of assets (ie, all architects desks), and this has not been done, so the recognition exemption cannot be applied."

Answer to the Question# 3(b) (i):

Delivery Truck

Lease liability	Amount in Tk.
Initial measurement of lease liability	832,860
Interest @ 6%	49,972
Paid 30 June 2024	(180,000)
Balance as at 30 June 2024	702,832
Interest @ 6%	42,170
Paid 30 June 2025	(180,000)
Balance c/f at 30 June 2025	565,001

Amount to be included in non-current liabilities at 30 June 2024 = balance c/f at 30 June 2025 = Tk. 565,001

Right-of-use asset	Amount in Tk.
Initial measurement of the liability	832,860
Depreciation charge for the year ended 30 June 2024: 833,860/10	(83,286)
Carrying amount at 30 June 2024	749,574

Amount to be included in non-current assets at 30 June 2024 = carrying amount of right-of-use asset = Tk. 749,574

Answer to the Question# 3(b) (ii):

Crane	Amount in Tk.
Present value of the future lease payments (working note)	481,481
Payment on commencement of the lease	270,000
Incentive received	(17,500)
Initial measurement of right-of-use asset	733,981

Calculation of depreciation over three-years, which is both the lease term and the useful life.
733,981/3 years = Tk. 244,660
Carrying amount at 30 June 2024 = Tk. 489,321

Working note

Present value of future lease payments	Amount in Tk.
Second payment: 270,000 / 1.08	250,000
Third payment: 270,000 / 1.08^2	231,481
Present value of the future lease payments	481,481

Answer to the Question# 3(b) (iii):

Fizz Ltd should recognise a gain on the rights transferred in respect of the building Gain on rights transferred = total gain – gain on rights retained
Gain on rights transferred = Tk. 1,200,000 (note -1) – Tk. 1,051,404 (note -2) = Tk. 148,596

Working note

1. Total gain
   Total gain = Tk. 4,000,000 - Tk. 2,800,000= Tk. 1,200,000
2. Gain on rights retained
   Gain on rights retained = Tk. 1,200,000 × Tk. 3,504,680/Tk. 4,000,000 = Tk. 1,051,404

Answer to the Question# 3(b) (iv):

Fizz Ltd may elect to apply the IFRS 16 recognition exemption to this contract on the basis that the laptops are individually of low value when new. If this election is made, lease payments are recognised in profit or loss over the lease term on a straight-line basis.

Answer to the Question# 4(a) (i):

Total amount to be written off to the income statement in the year ended October 2024

	Tk
Formula B (not yet qualifying as development phase)	20,000
Amortization of development costs (Formula A)	5,300
Amortization of patent (2,000 / 10)	200
	25,500

Answer to the Question# 4(a) (ii):

Notes to the financial statements as at 31 October 2024 (extracts) Intangible assets

	Development costs (Tk)	Patents (Tk)	Total (Tk)
Cost			
At I November 2023	43,000	-	43,000
Additions	10,000	2,000	12,000
At 31 October 2024	53,000	2,000	55,000
Amortization			
At I November 2023	-	-	-
Charge for year	5,300	200	5,500
At 31 October 2024	5,300	200	5,500
Carrying amount			
At I November 2023	43,000	2,000	43,000
At 31 October 2024	47,700	1,800	49,500

Answer to the Question# 4(b) (i):

Initial recognition

Dr	Loan receivable	500,000	
Cr	Cash		500,000

Dr	Impairment loss (P/L)	5,000	
Cr	Loan asset/loss allowance		5,000

(Based on 12 months expected credit losses = 1% of Tk 125,000)

Loan is classified in stage 1.

Year ended 31 December 2022

Dr	Impairment loss (P/L)	2,500	
Cr	Loan asset/loss allowance		2,500

(Based on 12 months expected credit losses = 1.5% of Tk 500,000 less Tk 5,000 previously recognized)

Loan remains in stage 1 as there is no significant increase in credit risk

Interest amount = 4% of Tk 500,000 = Tk 20,000.

Year ended 31 December 2023

Dr	Impairment loss (P/L)	42,500	
Cr	Loan asset/loss allowance		42,500

(Based on lifetime expected credit losses = Tk 50,000 less Tk 7,500 previously recognized)

Loan is moved to stage 2 as there is significant increase in credit risk

Interest amount = 4% of Tk 500,000 = Tk 20,000.

Year ended 31 December 2024

Dr	Impairment loss (P/L)	75,000	
Cr	Loan asset/loss allowance		75,000

(Based on lifetime expected credit losses = Tk125,000 less Tk 50,000 previously recognized)
Loan is moved to stage 3 as it is credit impaired.
Interest amount = 4% of Tk 500,000 = Tk 20,000.

Answer to the Question# 4(b) (ii):

Year ended 31 December 2025
Interest amount in the year ended 31 December 2025 = 4% of Tk 375,000 = Tk 15,000
The loan has moved to stage 3 at the end the year ended 31 December 2024. The interest in the year ended 31 December 2025 is calculated on the net carrying amount of the loan.

Answer to the Question# 5(a):

On 1 January 2023:				
	Debit	Financial asset (Tk. 189,000 plus Tk. 5,000 broker fees)	194,000	
	Credit	Cash/Bank		194,000
On 31 December 2023:				
	Debit	Financial asset (Tk. 194,000 x 6.49%)	12,591	
	Credit	Finance Income		12,591
On 31 December 2024:				
	Debit	Financial asset (Tk. 194,000 + Tk. 12,591) x 6.49%	13,408	
	Credit	Finance Income		13,408
	Debit	Cash/Bank	220,000	
	Credit	Financial assets		220,000

Answer to the Question# 5(b) (i):

Extract of financial statements for the year ended 30 June 2024:

Income statements	Tk.
Finance cost (Tk. 1,000,000 x 6.9%)	69,000
Statement of financial position	
Non-current liabilities	
Borrowings (Tk. 1,000,000+69,000-60,000)	1,009,000
Statement of cash flows	
Cash flow from operating activities	
Interest paid	(60,000)
Cash flow from financing activities	
Proceeds from preference share issue	1,000,000

Answer to the Question# 5(b) (ii):

HB Limited

The classification options for the investment in Landmark Ltd's redeemable prefernce shares are enumerated based on Business Model of IFRS 9:

- Option 1: Held to marurity on the basis of HB Limited has the positive intention and ability to hold them until maturity.

- Option 2: Fair Value Through Other Comprehensive Income (FVOCI): If HB has the intention to sell the shares before maturity.

Extract of financial statements for the year ended 30 June 2024:

	Option 1 (Tk.)	Option 2 (Tk.)
Income statements		
Finance income	17,250	17,250
Other Comprehensive Income		
Loss on investment in preferred shares		(14,750)
Statement of financial position		
Non-current liabilities		
Financial assets	252,250	237,500
Equity		
Available for sale reserve		(14,750)
Statement of cash flows		
Cash flow from operating activities		
Interest received	15,000	15,000
Cash flow from financing activities		
Financial investment	(250,000)	(250,000)

Working Note:

Note 1: Amortized Cost Method		
Initial amount recognized (Tk. 1,000,000 x 25%)		250,000
Interest income (Tk. 250,000 x 6.9%)	17,250	
Interest received	(15,000)	
		2,250
Carrying amount at 30 June 2024		252,250
Note 2: Fair Value Through OCI		
Initial amount recognized (Tk. 1,000,000 x 25%)		250,000
Interest income (Tk. 250,000 x 6.9%)	17,250	
Dividend received	(15,000)	
Fair value changes in equity (Balancing figure)	(14,750)	
		(12,500)
Fair value at year end (25% x 100,000 x Tk. 9.5)		237,500

Answer to the Question# 6:

Memorandum

To: Board of Directors, HS Ltd.
From:A. Accountant
Date: 13 July 2024
Subject: Treatment of acquisition of SH Ltd. and impact on financial statements

(a) **Explanation of financial reporting issues**

Introduction

In accordance with your instructions, I have prepared revised drafts of the financial statements for the year ended 31 May 2024 together with an explanation of the changes and a quantification of the effects on key metrics.

Treatment of acquisition
The current treatment of SH Ltd is inappropriate. Although HS Ltd has legal ownership of 49% of the voting shares, it controls 51% of the voting rights, through the memorandum of understanding with the professional advisers.

IFRS 10 Consolidated Financial Statements explicitly states that control of an entity is obtained where the parent owns less than half of the voting power of an entity but has power over more than half of the voting rights through an agreement with other shareholders.

Consequently, SH Ltd should be treated as a subsidiary per IFRS 10 and consolidated in the financial statements as a business combination using the acquisition method. The income, expenses, assets and liabilities of SH Ltd should be fully incorporated into the group financial statements on a line-by-line basis, instead of the 'one line' approach undertaken when using equity accounting.

A 51% non-controlling interest now arises in both the profit of the subsidiary for the year and its consolidated net assets at 31 May 2024.

Contingent consideration
The Tk 500,000 fair value of the additional consideration potentially payable in October 2024 should be recognized at the acquisition date as part of the consideration transferred, with a liability being recognized for the same amount.
Although the draft profit after tax for the relevant period is below the Tk 1.2mn target figure, this is partially due to the Tk 250,000 management fee that is included in the expenses of SH Ltd. As this is an intra-group item, it should be adjusted for, as should the intra-group trading transactions. The adjusted profit after tax of SH Ltd rises above the Tk 1.2mn threshold (Appendix 1) and the full Tk 2mn becomes payable.

Under IFRS 3 the Tk 1.5mn additional amount payable arises as a result of events after the acquisition date, rather than as a result of further information becoming available about conditions existing at that date. Therefore, it should be recognized as expense in profit or loss, rather than being taken up in the measurement of the acquisition date goodwill.

Banking covenant fee
When SH was accounted for using the equity method, its debt and finance costs were not presented in the consolidated statement of financial position and consolidated income statement. Under the acquisition method of accounting, these debts and finance costs should be aggregated with those of HS Ltd.

The revised total of Tk 33.61mn (17,310+16,300) exceeds the Tk 30mn total included in the loan covenant. HS Ltd should provide for the penalty charge of Tk 1mn, although this is diminished to a degree by the tax deduction arising on the penalty of Tk 300,000. It is arguable as to whether the penalty would be treated as a finance cost or shown elsewhere in the income statement.

Intra-group trading and unrealized profits.
When using equity accounting, only the group share of the intra-group profit is eliminated upon consolidation. No adjustment is made to group revenues, because sales made by the associate company are not shown in group revenues.

If the acquisition method of accounting is used, then both revenues and operating costs are reduced by the level of intra-group sales. A further adjustment is made for the unrealized profit contained in closing inventories. This is because these goods have not been transferred to third parties outside of the group and therefore it would be inappropriate to include profits on such transactions.

The amount of unrealized profit is Tk 25,000 (W7). The inventory was sold by SH Ltd and the non-controlling interest will be affected as a result.

Management fee
The management fee appears to have been charged to SH Ltd with the objective of reducing profits below the threshold for the contingent consideration. No adjustment is required when using equity accounting as far as revenues are concerned, because an associate company is not deemed to be part of the group.

When using the acquisition method, both revenues and expenses are reduced by the full amount of the management fee. This is because SH Ltd is now deemed to be a subsidiary company and all transactions between parent and subsidiary companies should be eliminated on consolidation.

(b) Revised drafts of the consolidated income statement and statement of financial position

Consolidated income statement for year ended 31 May 2024

	Tk'000
Revenues (W1)	51,410
Expenses (W1)	(37,595)
Operating profit	13,815
Finance costs (W1)	(3,180)
Profit before tax	10,635
Income tax (W1)	(4,010)
Profit after tax	6,625
Attributable to:	
Owners of HS Ltd (Bal)	6,128
Non-controlling Interest (W2)	497
	6,625

Consolidated statement of financial position at 31 May 2024

	Tk'000
Non-current assets	
Property plant and equipment (34,880 + 20,000)	54,880
Goodwill (9,540 + 7,944 (W4))	17,484
	72,364
Current assets (6,300+ 4,500-25 (W7) 140 intra group)	10,635
Total assets	82,999
EQUITY AND LIABILITIES	Tk'000
Issued ordinary shares	1,500
Share premium account	23,060
Retained earnings (W6)	7,018
Non-controlling interest (W5)	2,741
Total equity	34,319
Debt (17,310+ 16,300)	33,610
Current liabilities (9,710+2,800+500 +1,500+ 1,000-300-140 intra-group)	15,070
Total equity and liabilities	82,999

(c) **Impact on financial ratios**

Ratios	Original	Revised
Interest cover (((12,580 +490)/1,460) & (13,815/3,180))	8.95	4.34
Interest cover (treating interest penalty as a finance cost) (14,815/4,180)	-	3.54
Gearing ((17,310/33,790) & (33,610/34,319))	51%	98%
Basic EPS (W8)	Tk 5.56	Tk 4.09

Interest cover has fallen, and gearing has risen because SH Ltd is significantly funded by debt. When SH Ltd is consolidated using the acquisition method, its debts are added to those of the parent company and have a disproportionate impact on debt compared to equity. Basic EPS has fallen because of the reduction in profits caused by the need to provide for the interest penalty and the smaller adjustment for unrealized profits.

Summary

The amendments to the financial statements show significant changes from the original drafts. They result in the need to pay additional substantial amounts of consideration to the vendors of SH Ltd. In addition, a penalty is due to our bankers, and I suggest we discuss how the financial presentation of the subsidiary affects this with a view to negotiating revised terms or a lower penalty.

Appendix 1: Revised profit figure for SH Ltd

	Tk'000
Draft profit after tax per income statement	1,000
Add: Management fee	250
Less: Profit on intra-group sales (49% of 500 x 25/125)	(49)
Revised draft profit after tax	1,201

WORKINGS (All in Tk'000)

(1) **Consolidated income statement**

	HS	SH	Adjust	Total
Revenues	34,520	17,640	(500) (250)	51,410
Expenses	(21,940) (1,500)	(13,880)	500 (1,000) 250	(37,595)
PURP (W7)		(25)		
Finance Costs	(1,460)	(1,720)		(3,180)
Tax (30%×1,000)	(3,270)	(1,040)	300	(4,010)
PAT		975		

(2) **Non-controlling Interest - income statement**

51% × 975 = 497

(3) **Net assets**

	NA at acquisition	NA at year end
Shares	1,000	1,000
Retained earnings (at acq = 4,400 c/f less 1,000 retained for year)	3,400	4,400
PURP adjustment (W7)		(25)
	4,400	5,375

(4) **Goodwill**

Consideration transferred:	Tk
Cash paid on 1 June 2023	9,600
Fair value of contingent consideration at acquisition date	500
Non-controlling interest at the acquisition date (51% x 4,400 (W3))	2,244
	12,344
Less: net assets at acquisition (W3)	(4,400)
Goodwill	**7,944**

(5) **Non-controlling interest - statement of financial position**

	Tk
5,375 (W3) × 51%	2,741

(6) **Retained earnings**

	Tk
Draft total	9,230
PURP adjustment (49% x 25)	(12)
Less: Finance penalty accrued	(1,000)
Tax adjustment (30% x 1,000)	300
Revision to liability for contingent consideration	(1,500)
	7,018

(7) **Unrealized profit**

		Tk'000
Cost 100%	100	
Profit 25%	25	
Sales price	125%	125

(8) **EPS**

	Draft	Revised
Earnings	8,340	6,128
Basic shares	1,500	1,500
EPS (8,340/1,500) & (6,128/1,500)	Tk 5.56	Tk 4.09

---The End---